Warranties in Contract Law

English contract law | Study guide | Classification, termination and damages

A warranty is a binding contractual term. In the technical classification used in English contract law, breach of a warranty may give rise to damages. The breach alone gives the innocent party no common-law right to terminate.

1. The three categories of term

Condition. Breach generally gives the innocent party a choice to terminate and claim any recoverable damages. It may instead affirm the contract. Termination requires an election and generally affects future performance.

Warranty. The obligation is binding. Breach can support a claim for damages while the parties remain bound to perform their other obligations.

Innominate term. A right to terminate may arise if the effects of the particular breach deprive the innocent party of substantially the whole benefit intended under the contract.

2. How to classify the disputed term

Identify the exact obligation and read the whole agreement, including its purpose, commercial setting and any termination or cure clause. The label is relevant. In *Schuler*, the House of Lords held that calling a visiting obligation a condition did not, in that contract, confer an immediate right to terminate for any missed visit.

3. Warranty as a label for a promise

In commercial drafting, a seller may warrant that machinery has been serviced or promise to repair it for a year. Determine what has been promised and what remedies the agreement actually provides. The label alone does not resolve technical classification. The distinction between express and implied terms concerns where the obligation comes from.

4. A statutory example

Under section 53 of the *Sale of Goods Act 1979*, where it applies, breach of a warranty alone does not entitle the buyer to reject the goods. The buyer may seek damages or rely on the breach to reduce or extinguish the price. Consumer sales are subject to a separate statutory regime.

> Keep two questions separate. Does the breach justify termination? What loss can the claimant recover? The classification answers the first question, while proof of loss and the rules on damages answer the second.

Two Singers, Two Outcomes

1. Bettini v Gye and the rehearsal obligation

Bettini v Gye (1876) 1 QBD 183

Facts. Bettini's engagement covered operas and concerts over about fifteen weeks. He was to arrive in London at least six days before it began on 30 March 1875 for rehearsals. After falling ill, he arrived on 28 March. Gye refused to proceed with the engagement.

Reasoning and result. Blackburn J read the agreement as a whole. The missed rehearsal time could affect some early performances, but the engagement still included many performances in different settings. The arrival obligation was ancillary, and Gye could not end the contract on that ground. The court left open whether Bettini had an excuse that would defeat a damages claim.

2. Poussard v Spiers and Pond and the opening run

Poussard v Spiers and Pond (1876) 1 QBD 410

Facts. Madame Poussard was engaged to sing the leading role in a new opera. Illness kept her from the opening and the first performances. The producers needed a substitute to launch the production, and the substitute would only accept an engagement for the run.

Reasoning and result. Availability for the opening performances was central to the bargain in those circumstances, so the producers could end the engagement. Blackburn J treated the illness as excusing the failure to perform. The producers therefore had no damages claim for that absence.

> The legal difference lies in the role of the obligation in each contract. In *Bettini*, late arrival for rehearsal affected only part of a much longer and varied engagement. In *Poussard*, the inability to perform at the start affected the launch and the practical terms on which a replacement could be secured.

The historical judgments use the language of conditions precedent. In reading them, ask the practical question each court had to decide. Did the other party still have to proceed with the engagement?

Damages and a Worked Problem

1. From breach to recoverable loss

Damages generally aim to put the innocent party in the position it would have occupied had the contract been performed. Identify loss caused by the breach, consider whether it was within the parties' reasonable contemplation when they contracted, and account for reasonable mitigation. If a breach is established without proof of actual loss, nominal damages may be available.

2. The purple hat

A singer agrees to perform three concerts wearing a purple hat. At the first concert she performs the full programme in a black hat. The organiser had made the colour requirement for publicity photographs known when contracting and reasonably spends £180 reshooting the affected images. The organiser wants to cancel the remaining concerts.

Classification and termination. On these facts, the costume requirement is likely to be a warranty. The organiser received the full performance and the contract gives no express cancellation right for a costume breach. Cancellation on that ground alone would risk being wrongful.

Damages. The £180 is a plausible compensatory claim if the organiser proves the breach caused the expense and the reshoot was a reasonable response. The stated publicity purpose supports foreseeability. With no proven loss, the award may be nominal.

Change the contract. A clause expressly allowing cancellation of the remaining concerts for a departure from the agreed costume could create a separate contractual right. Check what triggers the clause and whether the organiser must give notice.

> In a problem answer, state the obligation, classify it, identify the available remedy and then prove the amount. Explain what change could affect the result.

Cases and legislation

Bettini v Gye (1876) 1 QBD 183
Poussard v Spiers and Pond (1876) 1 QBD 410
Bunge Corporation v Tradax Export SA [1981] 1 WLR 711
L Schuler AG v Wickman Machine Tool Sales Ltd [1974] AC 235
Ruxley Electronics and Construction Ltd v Forsyth [1996] AC 344
Hadley v Baxendale (1854) 9 Exch 341
Sale of Goods Act 1979 s 53
Consumer Rights Act 2015 s 19